



भारतीय रिज़र्व बैंक

RESERVE BANK OF INDIA

RBI/FIDD/2026-27/402

FIDD.CO.FSD.BC.No.04/05.05.010/2026-27

June 19, 2026

Reserve Bank of India [Commercial Banks - Kisan Credit Card (KCC) Scheme] Directions, 2026

Table of Contents

Chapter I: Preliminary.....	2
Chapter II: Credit - Purpose, Tenure and Limit.....	4
Chapter III: General Instructions.....	9
Chapter IV: Disclosure, Exemptions and Repeal Provisions.....	13
Annex I - Illustrations.....	15
Appendix.....	23



In exercise of the powers conferred under Section 21 and Section 35A of the Banking Regulation Act, 1949, and of all the powers enabling it in this behalf, the Reserve Bank of India, being satisfied that it is necessary and expedient in the public interest and in the interest of banking policy to do so, hereby, issues the Directions hereinafter specified.

Chapter I: Preliminary

A. Short Title and Commencement

1. These Directions shall be called the Reserve Bank of India [Commercial Banks - Kisan Credit Card (KCC) Scheme] Directions, 2026.
2. The Directions shall be applicable to loans sanctioned under the KCC Scheme with effect from January 01, 2027. Loans sanctioned prior to the said date shall continue to be governed by the extant guidelines till maturity / next renewal.

B. Objective

3. These Directions are issued with a view to laying down the framework for adequate and timely credit support from the banking system to be provided under the KCC Scheme to meet the working capital and investment credit needs of borrowers engaged in agriculture and allied activities, through a composite facility, requiring simple and standard procedure.

C. Applicability

4. These Directions shall be applicable to all Commercial Banks (hereinafter collectively referred to as 'banks' and individually as a 'bank')

For the purpose of these Directions, 'Commercial Banks' mean banking companies (other than Small Finance Banks, Payment Banks, and Local Area Banks) corresponding new banks, and the State Bank of India, as defined respectively under clauses (c), (da) and (nc) of Section 5 of the Banking Regulation Act, 1949.

5. These Directions shall not be applicable to operations of overseas branches of Indian banks.



D. Definitions/Clarifications

6. For the purpose of these Directions, unless the context or subject otherwise requires, the terms herein shall bear the meanings assigned to them as given below:

(1) “Crop season” means the period up to harvesting and marketing of the crops raised.

(2) “Short duration crops” shall mean crops with anticipated duration from sowing to marketing up to twelve months.

(3) “Long duration” crops mean crops which are not short duration crops. The crop season for long duration crops i.e., anticipated period from sowing to marketing is more than twelve months and up to eighteen months.

(4) For the purpose of the KCC Scheme, crop seasons shall be standardized at twelve months for short duration crops and eighteen months for long duration crops.

(5) “Marginal farmer” means a farmer with landholding of up to one hectare.

(6) “Small farmer” means a farmer with landholding of more than one hectare and up to two hectares.

7. Words and expressions used herein and not defined in these Directions, but defined in the Reserve Bank of India Act, 1934, or the Banking Regulation Act, 1949, shall have the meanings assigned to them in those Acts.



Chapter II: Credit - Purpose, Tenure and Limit

E. Purpose and Tenure

8. Under the KCC Scheme, banks shall extend credit to eligible borrowers for their farming and other needs as indicated below in the form of a composite facility with a tenure of six years:

(1) Short term credit requirements for cultivation of crops;

(2) Short term credit requirements for allied activities, an indicative list of which is provided in the table below:

S.No	Allied activity	Purpose
(i)	Animal Husbandry	Rearing of dairy animals / poultry birds / small ruminants; illustratively, cattle, buffalo, camel, yak, mithun, goat, sheep, pig, rabbit, etc.
(ii)	Fisheries & Aquaculture	Rearing and capturing of fish / shrimp / other aquatic organisms; illustratively, fish culture, composite / integrated fish culture, polyculture, raceways fish culture, sea cage culture, cage / pen culture in reservoir, wetland fisheries, ornamental fish farming, fish angling, fish seed rearing, saline water aquaculture (shrimp / fish), shrimp culture, prawn culture, pearl culture, crab culture, seaweed cultivation, aquaponics, bio-floc fish farming, bivalve culture and brackish water culture, etc., and other production related activities concerned with inland / marine fisheries and aquaculture.
(iii)	Other allied activities	Production related activities concerned with sericulture, lac culture, beekeeping, and similar other allied activities.

(3) Post-harvest / post- production expenses;

(4) Consumption requirements of farmer household;



(5) Expenses for maintenance of assets related to agriculture and allied activities, soil testing, real time weather forecasts / other technological support services and organic / good agricultural practices or similar relevant certification;

(6) Crop insurance, accident insurance, health insurance and asset insurance;

(7) Produce marketing loans; and

(8) Investment requirements for agriculture and allied activities.

9. The aggregate of components at **(1) to (7)** above shall form the short-term credit limit portion of the composite facility and the component at **(8)** shall constitute the long-term credit limit portion of the facility.

10. The short-term credit limit fixed for the sixth year together with the estimated long-term credit limit shall be the Composite Maximum Permissible Limit (CMPL) and is to be treated as the KCC limit.

Note: Refer D of illustrations 1 and 2 given in the [Annex I](#).

11. The short-term component of the KCC limit for the purposes of crop cultivation and allied activities shall be in the nature of revolving cash credit facility. There shall be no restriction on the number of debits and credits.

F. Working capital for cultivation of crops

12. Eligibility

The following shall be eligible to avail credit for working capital requirements for cultivation of crops:

(1) Farmers (individual / joint borrowers), who are owner cultivators;

(2) Tenant farmers, oral lessees, and sharecroppers; and

(3) Self-Help Groups (SHGs) and Joint Liability Groups (JLGs) of farmers / cultivators including tenant farmers, oral lessees, and sharecroppers.

13. Fixation of Drawing Limit

(1) The drawing limit for each crop season shall be the sum total of the following:

- (i) Scale of Finance (SoF) [as notified by State Level Technical Committee (SLTC) / District Level Technical Committee (DLTC)] for the respective crop/s for the current crop season multiplied by extent of area of cultivation



- (ii) 10 per cent of (i) above towards post-harvest expenses and consumption requirements of household
- (iii) 20 per cent of (i) above towards repairs and maintenance of farm assets, soil testing, weather advisory and agri-extension service subscriptions, software and digital advisory platforms fees, drone-based crop health surveys and spraying services, remote sensing and satellite-based crop monitoring services, other technological support services, organic / good agricultural practices certification and similar other services, in the nature of working capital expenses.
- (iv) Premium for crop insurance, accident insurance, health insurance and asset insurance, if any.

(2) In case the cropping pattern adopted by the farmer changes for any subsequent season, the drawing limit shall be reworked by taking into consideration the crops proposed to be grown.

(3) In situations where the SoF has not been notified by SLTC for a particular crop season, at the time of the farmer availing the loan, the bank shall consider applying a 10 per cent notional hike over the SoF applicable for the previous season and determine the drawable limit for the ensuing season. However, in cases where the SoF has been notified but not revised, banks shall adopt the existing SoF.

(4) In respect of crops not covered in the SoF finalised by the SLTC / DLTC of the respective State, loans extended shall be outside the KCC framework. However, efforts must be made to get the SoF of such crops notified by the SLTC / DLTC.

(5) The KCC credit limit shall be rounded off to the nearest ₹1,000.

(6) At the time of sanction, the maximum permissible limit (MPL) for the short-term crop loan shall be arrived at on a notional basis by adding 10 per cent to the limit of the previous crop season, from the second crop season onwards. In case the drawing limit exceeds the MPL in any crop season / year, the MPL shall be reassessed at the time of review.

Note: Refer A (I), (II), (III) and (IV) of Illustrations 1 and 2 given in the [Annex I](#).

(7) Marginal farmers shall also be eligible for a flexible credit limit of ₹10,000 to ₹50,000 (as Flexi KCC) as per assessment of the bank without relating it to the value of the land. The credit limit shall be based on crops grown, post-harvest warehouse



storage related credit needs, other farm expenses, consumption needs and investment requirements for agriculture and allied activities. The composite KCC limit is to be fixed for a period of six years on this basis. Wherever higher limit is required due to change in cropping pattern and / or SoF, the limit may be arrived at as per the estimation indicated at paragraphs 13(1) to 13(6).

14. Repayment Period

Banks shall fix the repayment period as per the crop season applicable.

G. Working Capital for Allied Activities

15. Eligibility

The following borrowers shall be eligible to avail credit for working capital requirements for allied activities.

(1) Animal husbandry farmers, fishers, fish farmers and farmers (including tenant farmers and sharecroppers), undertaking allied activities as per para 8(2) as individual / joint borrowers; and

(2) SHGs / JLGs of individuals as above.

16. Fixation of Drawing Limit

(1) Banks shall fix the drawing limits for allied activities based on the SoF (as notified by SLTC / DLTC) for the respective activities and number of units (acre / unit / animal / bird, etc.) by adopting the method analogous to that of working capital loans for cultivation of crops as indicated at paragraph 13 above.

(2) In respect of allied activities not covered in the SoF finalised by the SLTC / DLTC of the respective State, loans extended shall be outside the KCC framework. However, efforts must be made to get the SoF of such allied activities notified by the SLTC / DLTC.

(3) In cases where a borrower avails credit for both crop cultivation and allied activities under the KCC framework, the additional component towards consumption requirements (10 per cent) shall be considered only once and shall not be reckoned separately for each activity.

Note: Refer B (I), (II), (III) and (IV) of Illustrations 1 and 2 given in the [Annex I](#).



(4) The drawing power for the working capital limit for allied activities shall be determined based on the SoF / latest valuation of stocks / receivables / cash flows as per terms of sanction.

17. Repayment Period

Banks shall fix the repayment period as per the cash flow / income generation pattern of the activity undertaken by the borrower.

H. Investment Credit for Agriculture and Allied Activities

18. Eligibility

Beneficiaries specified in paragraph 12 and 15 above shall be eligible to avail investment credit for purposes related to agriculture and allied activities, illustratively:

- (1) land development
- (2) minor irrigation
- (3) purchase of farm / fishing, etc., equipment
- (4) construction of animal / bird shed
- (5) purchase of livestock
- (6) purchase of equipment related to allied activities, and
- (7) similar other purposes

19. Fixation of Limit

(1) The term loan limit shall be based on the proposed investment(s) during the tenure of the KCC facility and the bank's assessment of the repaying capacity of the borrower.

Note: Refer C (I), (II) and (III) of Illustrations 1 and 2 given in the [Annex I](#).

(2) The draw down of instalments shall be allowed based on the nature of investment.

20. Repayment Period

The term-loan component shall be repayable within a period of six years depending on the type of activity / investment, as per the bank's credit policy applicable for investment credit. If the nature of investment involves a tenure longer than six years, the term loan may be treated as a separate facility outside the KCC framework.



Chapter III: General Instructions

I. Rate of Interest

21. The rate of interest shall be as stipulated in [Reserve Bank of India \(Commercial Banks - Interest Rates on Advances\) Directions, 2025 dated November 28, 2025](#), as amended from time to time and as per other relevant guidelines issued in respect of charging interest on agricultural advances.

22. Banks shall pay interest on the minimum credit balance in KCC cash credit accounts as stipulated in the [Reserve Bank of India \(Commercial Banks – Interest Rate on Deposits\) Directions, 2025 \(Updated as on June 17, 2026\)](#), as amended from time to time.

J. Collateral Security and Margin

23. Banks shall waive collateral security and margin requirements for agricultural loans including loans for allied activities up to ₹2 lakh per borrower. However, voluntary pledge of gold and silver as collateral for agriculture loans up to the collateral-free limit will not be considered as a violation of the guidelines on collateral-free lending to the agriculture sector. Banks shall obtain and retain explicit declaration from the borrower in such cases. RBI guidelines on collateral free limit pertain only to secondary collateral and not primary security or assets financed by the loan.

24. Banks shall decide the collateral security and margin requirements for loans above ₹2 lakh as per their credit policy and in adherence with RBI guidelines issued from time to time.

25. In case of KCC loans against hypothecation of crops / stock and involving tie-up arrangements for recovery, banks may waive collateral security for loans up to a limit of ₹3 lakh.

K. Segregation of Limits

26. Considering the different interest rates and repayment schedules applicable to various types of credit provided under KCC, the facility may be divided into sub-limits for short-term cash credit limit-cum-savings accounts for crop cultivation and allied activities separately, and long-term loan for agriculture and allied activities. For



operational convenience, these sub-limits shall be maintained as separate loan accounts under the composite KCC facility.

L. Monitoring of End Utilization

27. Banks shall ensure ongoing monitoring of the end use of the credit facility by the borrower as per the terms of sanction through field inspections and / or other means, as per their credit policy.

M. Review and Renewal

28. Banks shall undertake review and renewal of the short-term limits for crop cultivation and allied activities as per their credit policy.

N. Other instructions

29. Banks shall obtain a one-time documentation including land record / tenancy certificate / equivalent certificate as per their credit policy at the time of application for fresh loan. During the tenure of the facility, at the time of each review, the bank shall obtain declaration from the borrower(s) regarding proposed activity / activities.

30. In case of loans to sharecroppers and oral lessees, banks shall accept certificates provided by local administration / panchayati raj institutions regarding the cultivation of crops by such borrowers. Where there are difficulties in getting certification regarding identity and occupational status of sharecroppers and oral lessees, banks shall accept an affidavit submitted by such borrowers giving their occupational status (i.e., details of land tilled / crops grown), for loans up to ₹50,000.

31. Processing fees, inspection charges and other charges shall be as per the bank's policy on applicable charges and applicable regulatory guidelines, if any.

32. The KCC holder will have the option to avail any type of crop insurance, asset insurance, accident insurance (including Personal Accident Insurance Scheme) or health insurance and may pay the premium through the KCC account. Beneficiaries shall be made aware of the insurance covers available. Their explicit consent shall be obtained, at the application stage itself if the premium is to be paid through the KCC account.



33. In case insurance (crop insurance, asset insurance and personal accident insurance) is funded under the KCC facility, the same shall be assigned in favour of the lending bank.

34. Draw down of the limit shall be allowed as per the convenience of the farmer using any of the following delivery channels:

(1) operation through banking outlet / part-time banking outlet (as defined in the [Reserve Bank of India \(Commercial Banks - Branch Authorisation\) Directions, 2025 dated November 28, 2025](#), as amended from time to time). and business correspondents

(2) operation through ATMs / micro-ATMs / PoS terminals, *etc.* in an interoperable manner

(3) mobile based transactions at agricultural input dealers and mandis

(4) operation through any other permitted digital delivery channel

35. Banks shall enable operations in KCC accounts through Unified Payments Interface (for working capital credit), debit cards (as stipulated in [Reserve Bank of India \(Commercial Banks – Credit Cards and Debit Cards: Issuance and Conduct\) Directions, 2025 dated November 28, 2025](#), as amended from time to time), mobile banking, internet banking, National Electronic Funds Transfer (NEFT), Real Time Gross Settlement (RTGS), Central Bank Digital Currency (CBDC) or any other regulated digital delivery channel, after obtaining explicit consent of the account holder.

36. In case the farmer applies for loan against the warehouse receipt of the produce, the bank shall consider such request as per established procedure and guidelines. The loan extended to the farmer in such case shall be linked with the related short-term KCC loan, if any, and the outstanding amount in such loan shall be adjusted at the time of disbursal of the loan secured by warehouse receipt.

37. Banks shall adhere to the instructions regarding interest subvention and prompt repayment incentive on KCC loans, as applicable from time to time.



38. Prudential norms on income recognition, asset-classification and provisioning as stipulated in the [Reserve Bank of India \(Commercial Banks - Asset Classification, Provisioning and Income Recognition\) Directions, 2026 dated April 27, 2026](#), as amended from time to time, shall apply to loans granted under the KCC Scheme.



Chapter IV: Disclosure, Exemptions, Repeal and other Provisions

O. Data Reporting

39. Banks shall submit data on KCC loans as per the prescribed reporting [format](#), at quarterly intervals, within 15 working days from the end of the quarter.

P. Exemptions

40. The Reserve Bank may, if it considers necessary for avoiding any hardship or for any other just and sufficient reason, grant extension of time to comply with or exempt any regulated entity, from all or any of the provisions of these Directions either generally or for any specified period, subject to such conditions as the Reserve Bank may impose.

Q. Repeal

41. The list of circulars repealed with respect to the provisions relating to commercial banks coming under the purview of this Direction is given in [Appendix](#).

42. The Directions, instructions, and guidelines repealed prior to the issuance of these Directions shall continue to remain repealed.

43. Notwithstanding such repeal, any action taken or purported to have been taken, or initiated under the repealed Directions, instructions, or guidelines shall continue to be governed by the provisions thereof. All approvals or acknowledgements granted under these repealed lists shall be deemed as governed by these Directions. Further, the repeal of these Directions, instructions, or guidelines shall not in any way prejudicially affect:

- (1) any right, obligation or liability acquired, accrued, or incurred thereunder.,
- (2) any, penalty, forfeiture, or punishment incurred in respect of any contravention committed thereunder; and
- (3) any investigation, legal proceeding, or remedy in respect of any such right, privilege, obligation, liability, penalty, forfeiture, or punishment as aforesaid; and any such investigation, legal proceedings or remedy may be instituted, continued, or enforced and any such penalty, forfeiture, or punishment may be imposed as if those Directions, instructions, or guidelines had not been repealed.



R. Application of other laws not barred

44. The provisions of these Directions shall be in addition to, and not in derogation of the provisions of any other laws, rules, regulations or Directions, for the time being in force.

S. Interpretations

45. For the purpose of giving effect to the provisions of these Directions or in order to remove any difficulties in the application or interpretation of the provisions of these Directions, the Reserve Bank may, if it considers necessary, issue necessary clarifications in respect of any matter covered herein and the interpretation of any provision of these Directions given by the Reserve Bank shall be final and binding.

(Nisha Nambiar)
Chief General Manager-in-Charge



Annex I

Illustrations

Illustrative examples for assessment of Kisan Credit Card limit

Illustration 1 – Short duration crops (1 Crop Season = 12 months)

(A) Working capital for crop cultivation

I. Assumptions:

- i) Land Holding: 2 acres
- ii) Cropping Pattern

SI No	Crop	Season	Cropped area (in acre)
A	Paddy	Kharif	2
B	Wheat	Rabi	2

- iii) Scale of Finance (SoF) notified by State Level Technical Committee

(per acre)

Crop season	1	2	3	4	5	6
Paddy	₹15,000	₹16,000	₹17,000	₹18,000	₹20,000	₹21,500
Wheat	₹20,000	₹21,000	₹22,000	₹24,000	₹27,000	₹29,000

- iv) Cost of insurance

Crop season	1	2	3	4	5	6
Actual cost	₹2,000	₹2,100	₹2,200	₹2,350	₹2,650	₹2,850

II. Assessment of drawing limit:

Crop to be grown	Land Holding (in acres)	Season	Scale of Finance per acre	Eligible loan amount
(a)	(b)	(c)	(d)	(e) = (b) X (d)
Paddy	2	Kharif	15,000	₹30,000
Wheat	2	Rabi	20,000	₹40,000
Sub-total (A)				₹70,000

ii	Add: Towards post-harvest and consumption requirements of farmer household (10 per cent of the total limit)	₹7,000
iii	Add: Towards repairs and maintenance expenses of farm assets, expenses for technological interventions involved in crop cultivation and organic/good agricultural practices certification (20 per cent of the total limit)	₹14,000
iv	Add: Cost of insurance, if any.	₹2,000
Sub-total (B)		₹ 23,000

III. Maximum Permissible Limit (for documentation purpose)



Crop season	Calculation	Loan limit
1	Crop Loan Limit – 1st Season [Sub-total (A) + (B)]	₹93,000
2	Add: 10% of the previous season's limit towards cost escalation	₹1,02,300
3	Add: 10% of the previous season's limit towards cost escalation	₹1,12,530
4	Add: 10% of the previous season's limit towards cost escalation	₹1,23,783
5	Add: 10% of the previous season's limit towards cost escalation	₹1,36,161*
6	Add: 10% of the previous season's limit towards cost escalation	₹1,49,777*

*amount rounded off

IV. Drawing limit for subsequent seasons

Crop Season	Calculation	Drawing limit [#]
1	Drawing Limit- 1st Season [Sub-total (A) + (B)]	₹93,000
2	= 74,000 (2 acre × 16,000 + 2 acre × 21,000) + 10% + 20% + 2,100 (Cost of insurance)	₹98,300
3	= 78,000 (2 acre × 17,000 + 2 acre × 22,000) + 10% + 20% + 2,200 (Cost of insurance)	₹1,03,600
4	= 84,000 (2 acre × 18,000 + 2 acre × 24,000) + 10% + 20% + 2,350 (Cost of insurance)	₹1,11,550
5	= 94,000 (2 acre × 20,000 + 2 acre × 27,000) + 10% + 20% + 2,650 (Cost of insurance)	₹1,24,850
6	= 1,01,000 (2 acre × 21,500 + 2 acre × 29,000) + 10% + 20% + 2,850 (Cost of insurance)	₹1,34,150

Drawing limit may be rounded off to the nearest ₹1,000

(B) Working capital for allied activities

I. Assumptions:

(i) Proposed activity: Dairy

Livestock owned	No. of units	Scale of Finance per unit
a	b	c
Cross Breed Cow	1+1=2	₹7,000

- The above assessment is an illustration. The assessment of the KCC limit for allied activities will vary depending on the type of activity undertaken. Banks



shall refer to the Scale of Finance approved by the State Level Technical Committee for determining the KCC limit.

(ii) Scale of Finance notified by State Level Technical Committee

Year	1	2	3	4	5	6
SoF	₹7,000	₹7,500	₹8,000	₹8,600	₹9,500	₹10,200

(iii) Cost of insurance

Year	1	2	3	4	5	6
Cost	₹400	₹450	₹500	₹550	₹600	₹650

II. Assessment of drawing limit

Livestock owned	No. of units	Scale of Finance per unit	Eligible loan amount
a	b	c	d = bXc
Cross Breed Cow	1+1=2	₹7,000	₹14,000
Sub-total (A)			₹14,000

ii	Add: Towards post-production and consumption requirements* of farmer household (10 per cent of the total limit)	₹1,400
iii	Add: Towards repairs and maintenance expenses for related assets, expenses for technological interventions as applicable in and organic or such other relevant certification, if any (20 per cent of the total limit)	₹2,800
iv	Add: Cost of insurance, if any#	₹400
Sub-total (B)		₹4,600

*If a borrower avails KCC loan for both agriculture and allied activities, consumption requirements shall be covered only in any one category and not both.

#If a borrower avails KCC loan for both agriculture and allied activities, distinct forms of insurance coverage are to be reckoned only once each.

III. Maximum Permissible Limit (for documentation purpose)

Year	Calculation	Limit
1	Loan limit for 1 st year	₹18,600
2	Add: 10% of the previous year limit towards cost escalation	₹20,460
3	Add: 10% of the previous year limit towards cost escalation	₹22,506
4	Add: 10% of the previous year limit towards cost escalation	₹24,757*
5	Add: 10% of the previous year limit towards cost escalation	₹27,233*
6	Add: 10% of the previous year limit towards cost escalation	₹29,956*

*amount rounded off



IV. Drawing limit for subsequent seasons

Year	Calculation	Drawing Limit [#]
1	Drawing Limit – 1st Cycle [(A) + (B)]	₹18,600
2	= ₹15,000 (SoF notified by SLTC × 2 units involved) + 10% + 20% + ₹450 (Cost of insurance)	₹19,950
3	= ₹16,000 (SoF notified by SLTC × 2 units involved) + 10% + 20% + ₹500 (Cost of insurance)	₹21,300
4	= ₹17,200 (SoF notified by SLTC × 2 units involved) + 10% + 20% + ₹550 (Cost of insurance)	₹22,910
5	= ₹19,000 (SoF notified by SLTC × 2 units involved) + 10% + 20% + ₹600 (Cost of insurance)	₹25,300
6	= ₹20,400 (SoF notified by SLTC × 2 units involved) + 10% + 20% + ₹650 (Cost of insurance)	₹27,170

Drawing limit may be rounded off to the nearest ₹1,000

(C) Investment credit for Agriculture and Allied Activities

I. Assumptions:

- Replacement of Pump set in 2nd year (Unit cost ₹50,000)
- Establishment of 1+1 Dairy Unit in 3rd year (Unit cost ₹50,000 per animal)

II. Disbursement

Year	Particulars	No of units	Cost per Unit	Total Cost
2 nd Year	Replacement of Pump set	1	₹50,000	₹50,000
3 rd Year	Cost of 1+1 Dairy Unit	1+1=2	₹50,000	₹1,00,000
Total term loan Component				₹1,50,000

III. Maximum permissible limit: ₹1,50,000

(D) Composite Maximum permissible KCC limit for 6th year (for documentation purpose)

A	Working capital for crop cultivation [A (III)]	₹1,49,777
B	Working capital for allied activities [B (III)]	₹29,956
C	Investment credit (Term loan) [C (III)]	₹1,50,000
	Composite KCC Limit	₹3,29,733



Illustration 2 – Long duration crops (1 crop season = 18 months)

(A) Working capital for crop cultivation

I. Assumptions:

- i. Land Holding: 2 acres
- ii. Cropping Pattern

Sr. No.	Crop	Cropped area (in Acre)	Scale of Finance per acre
a	Sugarcane	2	₹50,000

iii. SoF notified by State Level Technical Committee

(per acre)

Crop season	1	2	3	4
Sugarcane	₹50,000	₹52,000	₹55,000	₹60,500

iv. Cost of insurance

Crop season	1	2	3	4
Actual cost	₹3,000	₹3,500	₹4,000	₹4,500

II. Assessment of drawing limit

Crop to be grown	Land Holding (in acres)	Scale of Finance per acre	Eligible loan amount
(a)	(b)	(c)	(d) = (b) X (c)
Sugarcane	2	₹50,000	₹1,00,000
Sub-total (A)			₹1,00,000

ii	Add: Towards post-harvest and consumption requirements of farmer household (10 per cent of the total limit)	₹10,000
iii	Add: Towards repairs and maintenance expenses of farm assets, expenses for technological interventions involved in crop cultivation and organic/good agricultural practices certification (20 per cent of the total limit)	₹20,000
iv	Add: Cost of insurance, if any.	₹3,000
	Sub-total (B)	₹33,000
Drawing Limit – 1 st Crop Season [(A) + (B)]		₹1,33,000



III. Maximum Permissible Limit (for documentation purpose)

Crop Season	Calculation	Loan limit
1	Crop Loan Limit – 1 st Cropping Season [Sub-total (A) + (B)]	₹1,33,000
2	Add: 10% of the previous season's limit towards cost escalation	₹1,46,300
3	Add: 10% of the previous season's limit towards cost escalation	₹1,60,930
4	Add: 10% of the previous season's limit towards cost escalation	₹1,77,023

*amount rounded off

IV. Drawing limit for subsequent seasons

Crop season	Calculation	Drawing limit [#]
1	Drawing Limit – 1 st Crop Season [(A) + (B)]	₹1,33,000
2	= ₹1,04,000 (2 acre × ₹52,000) + 10% + 20% + ₹3,500 (Cost of insurance)	₹1,38,700
3	= ₹1,10,000 (2 acre × ₹55,000) + 10% + 20% + ₹4,000 (Cost of insurance)	₹1,47,000
4	= ₹1,21,000 (2 acre × ₹60,500) + 10% + 20% + ₹4,500 (Cost of insurance)	₹1,61,800

Drawing limit may be rounded off to the nearest ₹1,000

(B) Working capital for allied activities

I. Assumptions:

(i) Proposed activity: Fish culture (in ponds)

Asset owned	No. of units (acre)	Scale of Finance per acre
a	b	c
Pond (1 acre)	1 acre	₹2,00,000

- The above assessment is an illustration. The assessment of the KCC limit for allied activities will vary depending on the type of activity undertaken. Banks shall refer to the Scale of Finance approved by the State Level Technical Committee for determining the KCC limit.



- (ii) Scale of Finance notified by State Level Technical Committee per unit to cover recurring expenses illustratively seed, feed, labour, and maintenance etc.

Year	1	2	3	4	5	6
SoF	₹2,00,000	₹2,08,000	₹2,20,000	₹2,35,000	₹2,50,000	₹2,60,000

- (iii) Cost of Insurance

Year	1	2	3	4	5	6
Cost	₹4,500	₹4,800	₹5,200	₹5,600	₹6,100	₹6,600

II. Assessment of drawing limit

Asset owned	No. of units	Scale of Finance per unit (acre)	Eligible loan amount
a	b	c	d = b X c
Pond	1 acre	₹2,00,000	₹2,00,000
Sub-total (A)			₹2,00,000

ii	Add: Towards post-production and consumption requirements* of farmer household (10 per cent of the total limit)	₹20,000
iii	Add: Towards repairs and maintenance expenses for related assets, expenses for technological interventions as applicable and organic or such other relevant certification, if any (20 per cent of the total limit)	₹40,000
iv	Add: Cost of insurance, if any [#]	₹4,500
Sub-total (B)		₹64,500

*If a borrower avails KCC loan for both agriculture and allied activities, consumption requirements shall be covered only in any one category and not both.

[#]If a borrower avails KCC loan for both agriculture and allied activities, distinct forms of insurance coverage are to be reckoned only once each.

III. Maximum Permissible Limit (for documentation purpose)

Year	Calculation	Limit
1	Loan limit for 1st year	₹2,64,500
2	Add: 10% of the previous year limit towards cost escalation	₹2,90,950
3	Add: 10% of the previous year limit towards cost escalation	₹3,20,045
4	Add: 10% of the previous year limit towards cost escalation	₹3,52,050*
5	Add: 10% of the previous year limit towards cost escalation	₹3,87,255
6	Add: 10% of the previous year limit towards cost escalation	₹4,25,981*

*amount rounded off



IV. Drawing limit for subsequent seasons

Year	Calculation	Drawing Limit [#]
1	Drawing Limit – 1st Cycle [(A) + (B)]	₹2,64,500
2	= ₹2,08,000 (SoF notified by SLTC × 1 unit involved) + 10% + 20% + ₹4,800 (Cost of insurance)	₹2,75,200
3	= ₹2,20,000 (SoF notified by SLTC × 1 unit involved) + 10% + 20% + ₹5,200 (Cost of insurance)	₹2,91,200
4	= ₹2,35,000 (SoF notified by SLTC × 1 unit involved) + 10% + 20% + ₹5,600 (Cost of insurance)	₹3,11,100
5	= ₹2,50,000 (SoF notified by SLTC × 1 unit involved) + 10% + 20% + ₹6,100 (Cost of insurance)	₹3,31,100
6	= ₹2,60,000 (SoF notified by SLTC × 1 unit involved) + 10% + 20% + ₹6,600 (Cost of insurance)	₹3,44,600

Drawing limit may be rounded off to the nearest ₹1,000

(C) Investment credit for Agriculture and Allied Activities

I. Assumptions

- Purchase of Harvester in 2nd year (cost ₹1,50,000)
- Renovation of pond in 3rd year (cost ₹50,000)

II. Disbursement

Year	Particulars	Total Cost
2 nd Year	Purchase of Harvester	₹1,50,000
3 rd Year	Renovation of pond	₹50,000
Total term loan Component		₹2,00,000

III. Maximum permissible limit: ₹2,00,000

(D) Composite Maximum permissible KCC limit for 6th year (for documentation purpose)

A	Working capital for crop cultivation [A (III)]	₹1,77,023
B	Working capital for allied activities [B (III)]	₹4,25,981
C	Investment credit (term loan) [C (III)]	₹2,00,000
	Composite KCC Limit	₹8,03,004



Appendix

List of circulars repealed with the issuance of Master Direction

Sr. No.	Circular No.	Date	Subject
1	RPCD.No.PLFS.BC. 20/05.05.09/98-99	05.08.1998	Kisan Credit Cards
2	RPCD.PLNFS.No.BC. 99/05.05.09/99-2000	06.06.2000	Kisan Credit Card Scheme – Modification
3	RPCD.No.PLFS.BC. 63/05.05.09/2000-01	03.03.2001	Kisan Credit Cards
4	RPCD.PLFS.BC.No. 1/05.05.09/2000-01	02.07.2001	Kisan Credit Card Scheme – Master Policy on Personal Accident Insurance Scheme for KCC Holders
5	RPCD.PLFS.BC.No. 64/05.05.09/2001-02	28.02.2002	Kisan Credit Card
6	RPCD.PLFS.BC.No. 24/05.05.09/2004-05	28.10.2004	Personal Accident Insurance Scheme (PAIS) For KCC holders – Renewal of Master Policy
7	RPCD.PLFS.BC.No. 38/05.05.09/2004-05	04.10.2004	Scheme to Cover Term Loans for Agriculture & Allied Activities under KCC
8	RPCD.PLFS.BC.No. 58/05.05.09/2004-05	08.11.2004	Personal Accident Insurance Scheme (PAIS) For KCC holders – Renewal of Master Policy – Clarification
9	RPCD.PLFS.BC.No. 8/05.05.09(PAIS)/2005-06	05.07.2005	Personal Accident Insurance Scheme (PAIS) For KCC holders
10	RPCD.FSD.BC.No. 77/05.05.09/2011-12	11.05.2012	Revised Kisan Credit Card (KCC) Scheme
11	RPCD.FSD.BC.No. 23/05.05.09/2012-13	07.08.2012	Revised Kisan Credit Card (KCC) Scheme
12	FIDD.FSD.BC.No. 18/05.05.010/2016-17	13.10.2016	Revised Kisan Credit Card (KCC) Scheme
13	FIDD.CO.FSD.BC.No. 7/05.05.010/2017-18	03.07.2017	Master Circular - Kisan Credit Card (KCC) Scheme